Chapter – 5 Bad and doubtful debts
MCQs for practice

1. A debt that is certain to be uncollectible and must be removed from accounts is called:
   a) Provision for doubtful debt
   b) Bad debt
   c) General allowance
   d) Irrecoverable allowance

2. When a debt is written off as bad, the double entry is:
   a) Debit Receivables, Credit Cash
   b) Debit Bad Debts Expense, Credit Receivables
   c) Debit Receivables, Credit Bad Debts Expense
   d) Debit Cash, Credit Receivables

3. A doubtful debt is:
   a) A receivable guaranteed to be collected
   b) A debt considered possibly irrecoverable
   c) A debt already written off
   d) An overpayment by a debtor

4. Which of the following best describes an allowance for doubtful debts?
   a) Asset
   b) Liability
   c) Contra-asset
   d) Expense

5. The creation of allowance for doubtful debts affects:
   a) Assets only
   b) Liabilities only
   c) Both assets and expenses
   d) Only equity

6. In the financial statements, allowance for doubtful debts is deducted from:
   a) Cash
   b) Trade receivables
   c) Trade payables

d) Inventory

7. An increase in allowance for doubtful debts results in:
   a) Increase in profit
   b) Decrease in profit
   c) No effect on profit
   d) Increase in assets

8. A bad debt previously written off but later recovered is credited to:
   a) Receivables account
   b) Bad debts recovered account
   c) Cash account only
   d) Allowance account

9. If bad debts expense is understated, the effect on financial statements is:
   a) Profit overstated, Assets overstated
   b) Profit understated, Assets understated
   c) Profit overstated, Assets correct
   d) Profit correct, Assets overstated

10. The prudence concept requires:
    a) All income to be recognized when earned
    b) Losses to be anticipated, gains not to be anticipated
    c) Assets always to be overstated
    d) Liabilities always to be ignored

11. Which concept supports creation of allowance for doubtful debts?
    a) Accrual concept
    b) Matching concept
    c) Prudence concept
    d) Consistency concept

12. When bad debts are written off, they are shown in:
    a) SOFP under assets
    b) SOCI as expense
    c) SOCI as income
    d) Deducted from capital

13. A specific allowance is created for:
    a) All receivables
    b) Receivables with no risk
    c) Identified risky debts
    d) Past written-off debts

14. Which of the following is NOT true?
    a) Bad debts reduce receivables directly
    b) Doubtful debts are shown as an expense and deduction from receivables
    c) Allowance account is contra-asset
    d) Writing off bad debt affects liabilities

15. Increase in allowance is shown as:
    a) Income in SOCI
    b) Expense in SOCI
    c) Deduction from equity
    d) Deduction from cash

16. Decrease in allowance is shown as:
    a) Income in SOCI
    b) Expense in SOCI
    c) Deduction from liability
    d) Deduction from asset

17. Recovery of bad debts is presented in SOCI as: (select two options)
    a) Reduction of expense
    b) Other income
    c) Sales
    d) Liability reduction

18. Which of the following is considered a *bad debt*?
    a) Debt with high chance of recovery
    b) Debt certain to be irrecoverable
    c) Debt with no due date
    d) Debt with partial payment received

19. Which of the following best describes *doubtful debts*?
    a) Debts that are certain to be repaid
    b) Debts where recovery is uncertain

c) Debts already written off
d) Debts secured by collateral

20. Bad debts are written off in accordance with which accounting concept?
a) Prudence
b) Consistency
c) Accrual
d) Dual aspect

21. Which of the following is **not** an example of a doubtful debt situation?
a) Customer declares bankruptcy
b) Customer delays payment but is financially stable
c) Court case filed against customer
d) Customer refuses to pay due to disputes

22. Writing off bad debts decreases:
a) Liabilities
b) Assets and profit
c) Equity only
d) Cash

23. An allowance for doubtful debts is classified as:
a) Current asset
b) Contra-asset
c) Liability
d) Non-current liability

24. The double entry for recording a bad debt is:
a) Debit Receivables, Credit Bad Debts Expense
b) Debit Bad Debts Expense, Credit Receivables
c) Debit Cash, Credit Receivables
d) Debit Allowance, Credit Cash

25. A reduction in allowance for doubtful debts is shown in SOCI as:
a) Expense
b) Income
c) Liability

d) Asset

26. Recovery of a previously written-off debt is treated as:
    a) Revenue
    b) Expense
    c) Other income
    d) Contra-liability

27. In the Statement of Financial Position, trade receivables are shown:
    a) At gross value
    b) Net of allowance for doubtful debts
    c) Deducted from capital
    d) Deducted from liabilities

28. Bad debts written off appear in:
    a) SOCI under operating income
    b) SOCI as expense
    c) SOFP as liability
    d) SOFP as asset

29. An understatement of allowance leads to:
    a) Assets understated, profit understated
    b) Assets overstated, profit overstated
    c) Assets overstated, profit understated
    d) Assets understated, profit overstated

30. Which principle requires anticipated losses to be recognized?
    a) Consistency
    b) Prudence
    c) Duality
    d) Going concern

31. Non-recognition of allowance results in violation of:
    a) Consistency
    b) Prudence
    c) Going concern
    d) Money measurement

32. If doubtful debts are not accounted, the effect is:

a) Assets correct, profit understated

b) Assets overstated, profit overstated

c) Assets understated, profit overstated

d) Assets overstated, profit correct

33. Allowance for doubtful debts is created:

a) As a liability

b) As a contra to receivables

c) As a provision against inventory

d) None of the above

34. Which of the following is most accurate?

a) Allowance = contingent liability

b) Allowance = contra asset

c) Allowance = provision for liability

d) Allowance = prepaid expense

35. Which entry is correct for creation of allowance?

a) Dr Receivables, Cr Allowance

b) Dr Expense, Cr Allowance

c) Dr Allowance, Cr Expense

d) Dr Cash, Cr Allowance

36. Recovery of bad debts requires which double entry?

a) Dr Receivables, Cr Cash

b) Dr Cash, Cr Bad Debts Recovered

c) Dr Expense, Cr Receivables

d) Dr Cash, Cr Allowance

37. Bad debts are closed in:

a) Sales account

b) Profit & Loss account

c) Allowance account

d) Capital account

38. Which of the following is *not* a purpose of allowance for doubtful debts?

a) To match expenses with sales

b) To ensure prudence

c) To increase reported profit

d) To show receivables at realizable value

39. Which statement is true?

a) Allowance is charged to capital

b) Bad debts are shown in SOFP

c) Bad debts are an income

d) Allowance is deduction from receivables in SOFP.

40. A specific allowance relates to:

a) Whole receivables balance

b) Identified doubtful customer accounts

c) Bad debts recovered

d) Prepaid insurance

41. Which type of allowance is based on a % of total receivables?

a) Specific

b) General

c) Both a & b

d) None

42. When receivables are shown gross in SOFP, this violates:

a) Prudence

b) Matching

c) Consistency

d) Accrual

43. A doubtful debt, when confirmed irrecoverable, becomes:

a) Liability

b) Bad debt

c) Expense prepaid

d) Income

44. A closing allowance balance carried forward reduces:

a) Equity

b) Liabilities

c) Trade receivables

d) Cash

45. If allowance is omitted, which is incorrect?
a) Assets overstated
b) Profit overstated
c) Liabilities overstated
d) Prudence violated

46. Bad and doubtful debt account is closed by transferring balance to:
a) Receivables account
b) SOCI
c) Cash account
d) Equity

47. If allowance decreases, the impact on profit is:
a) Profit increases
b) Profit decreases
c) No effect
d) Assets decrease

48. Allowance is a reserve created for:
a) Future purchase
b) Possible loss from receivables
c) Tax payment
d) Inventory write-down

49. Which concept prevents overstatement of receivables?
a) Prudence
b) Matching
c) Accrual
d) Consistency

50. When allowance is created, which accounts are affected?
a) Receivables and Payables
b) Expense and receivables
c) Cash and Capital
d) Sales and Purchases

51. If no allowance is made, financial statements will show:
    a) True & fair value
    b) Overstated assets and profits
    c) Understated assets and profits
    d) Correct receivables

52. Which type of account is "Allowance for doubtful debts"?
    a) Nominal account
    b) Real account
    c) Contra-asset account
    d) Income account

53. At 31st December 2020, receivable balance of Sarfaraz Limited is Rs. 695,000. This includes a debt amounting to Rs. 35,000 which needs to be written off. Company has policy of maintaining allowance fordoubtful debts at 5% of receivable's balance. This year's allowance for doubtful debts has increased by 10% as compared to last year.

    What is the amount to be charged to statement of comprehensive income for the year ending 31st December 2020?
    a. Rs. 3,000
    b. Rs. 33,000
    c. Rs. 35,000
    d. Rs. 38,000

54. Opening balance of debtors was Rs 20,000. Sales and cash collection during the year are Rs 70,000 and Rs 42,000 respectively. Cash discount allowed during the year was Rs 1,000. Bad debts written off during the year were Rs. 1,800. Business maintains allowance at 10% of receivables for doubtful debt. What amount is to be charged to statement of profit or loss for bad and doubtful debts?
    a) Rs. 2,520
    b) Rs. 1,800
    c) Rs. 4,320
    d) Rs. 5,320

55. **At 31 December 2022 receivables totalled Rs. 785,000 before making the following adjustment:**

i. It was decided to write off Rs 20,000 of bad debts as irrecoverable and create specific allowance of 80% against balance of Rs. 75,000.

ii. General allowance for receivables is to be maintained at 5% of receivables.

Allowance for doubtful receivables as at 31-12-21 amounted to 31,000

What should be the allowance for doubtful receivables at December 2022?

a) Rs 110,000

b) Rs 109,500

c) Rs 95,500

d) Rs 94,500

56. At December 31, 2018 a company's receivable totalled Rs. 600,000 and an allowance for bad and doubtful debts of Rs. 60,000 had been brought down from last year. It was decided to write off the debts totaling Rs. 25,000 and to adjust allowance for receivable @10% of the receivable. At what amount receivables are to be shown in statement of financial position as at 31 December 2018?

a) Rs. 572,500

b) Rs. 517,500

c) Rs. 546,000

d) Rs. 575,000